Q.1 The prime responsibility of the marketers is to understand what is going on within the organization to translate stimuli into purchase behavior.

A. True

B. False

Q.2 Ideally in the modified rebuy situation, the buyer does not think of changing the product specifications, price or a supplier.

A. False

B. True

Q.3 Style is a larger concept than design. Design describes the appearance of a product.

A. False

B. True

Q.4 Many marketers believe that behavior variables are the best starting point for building market segments.

A. True

B. False

Q.5 When a company introduces a new brand name in the same product category, it is called line extension.

A. False

B. True

Q.6 Within the organization, buying activity consists of two major parts: the buying center and the buying decision process.

A. True

B. False

Q.7 All business buying decisions follow all steps of the business buying process.

A. False

B. True

Q.8 Decision of a single participant is enough in the business buying process.

A. False

B. True

Q.9 During proposal solicitation, the buying center often will draw up a list of desired supplier attributes and their relative importance.

A. False

B. True

Q.10 We define a service as anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.

A. False

B. True

Q.1 The demand for many business goods tends to change more slowly than the demand for consumer goods.

A. True

B. False

Q.2 The order-routine specification includes the final order with the chosen supplier or suppliers and lists items such as technical specifications, quantity needed, expected delivery time, return policies, and warranties.

A. True

B. False

Q.3 Style is a larger concept than design. Design describes the appearance of a product.

A. True

B. False

Q.4 The buying decision process and buying center are not influenced by external environmental factors.

A. True

B. False

Q.5 A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes—the place the product occupies in the retailers' minds relative to competing products.

A. True

B. False

Q.6 The buying decision process and buying center are influenced by internal organizational factors.

A. True

B. False

Q.7 The service-profit chain means the set of all product lines and items that a particular seller offers for sale.

A. True

B. False

Q.8 Decision of a single participant is enough in the business buying process.

A. False

B. True

Q.9 We define a service as anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.

A. True

B. False

Q.10 Ideally in the modified rebuy situation, the buyer does not think of changing the product specifications, price or a supplier.

A. False

B. True

Q.1 Dove marketers can go beyond the brand's cleansing cream attributes and talk about the resulting benefit of softer skin. This is known as product attributes in brand positioning.

A. False

B. True

Q.2 Product support services identify the product or brand, describe several things about the product, and promote the product through attractive graphics.

A. True

B. False

Q.3 In a product business, products are fairly standardized and can sit on shelves waiting for customers. In a service business, the customer and front-line service employee interact to create the service.

A. False

B. True

Q.4 An aspect of managing service differentiation is in the company's service delivery.

A. True

B. False

Q.5 An example of service variability is that within a given Marriott hotel, one registration-desk employee may be cheerful and efficient, whereas another may be unpleasant and slow.

A. True

B. False

Q.6 Research and planning for loyalty status as a segmentation approach is generally not useful or practical for most firms.

A. True

B. False

Q.7 At a recent marketing seminar, the featured speaker stated that a target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. You believe this is a correct definition.

A. True

B. False

Q.8 In international product and service marketing, it is important to know what different colors mean to different countries.

A. True

B. False

Q.9 A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes—the place the product occupies in the retailers' minds relative to competing products.

A. True

B. False

Q.1 Yusra always feels super excited after purchasing trendy clothes from Sapphire Store is an example of a new task buying situation.

A. True

B. False

Q.2 The newer the buying task, and the more complex and costly the item, the lesser the amount of time the buyer will spend searching for suppliers.

A. False

B. True

Q.3 In evaluating different market segments, a firm must look at three factors: segment size and growth, segment structural attractiveness, and company objectives and resources.

A. False

B. True

Q.4 Shopping products are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style.

A. False

B. True

Q.5 The widespread use of mass marketing has masked the fact that for centuries consumers were served as individuals where businesses practiced individual marketing.

A. True

B. False

Q.6 An example of service variability is that within a given Marriott hotel, one registration-desk employee may be cheerful and efficient, whereas another may be unpleasant and slow.

A. True

B. False

Q.7 Derived demand means that the demand of an organization is dependent on consumer demand.

A. False

B. True

Q.8 Service inseparability means that the quality of services depends on who provides them, as well as when, where, and how they are provided.

A. False

B. True

Q.9 Style is a larger concept than design. Design describes the appearance of a product.

A. True

B. False

Q.10 A company buying a product or service for the first time faces a new task situation.

A. False

B. True

Q.1 The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.

A. False
B. True

Q.2 Environmental elements are categorized as external factors that affect pricing decisions.

A. True
B. False

Q.3 Pricing often plays an important role in helping to accomplish a company's multi-level objectives.

A. False
B. True

Q.4 Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.

A. False
B. True

Q.5 The service-profit chain means the set of all product lines and items that a particular seller offers for sale.

A. False
B. True

Q.6 Unsought products are products and services that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort.

A. False
B. True

Q.7 Style is a larger concept than design. Design describes the appearance of a product.

A. True
B. False

Q.8 The simplest pricing method is break-even pricing—adding a standard markup to the cost of the product.

A. True
B. False

Q.9 Customer retention is perhaps the best measure of quality—a service firm's ability to hang on to its customers depends on how consistently it delivers value to them.

A. True
B. False

Q.10 Product support services identify the product or brand, describe several things about the product, and promote the product through attractive graphics.

A. False
B. True

Q.1 The brand of a product can determine its consumer value.

A. False

B. True

Q.2 Each firm should be able to find a single way to segment each market.

A. True

B. False

Q.3 Internal marketers face special challenges. They must figure out what products to introduce to other countries.

A. False

B. True

Q.4 Influencers often help define specifications and also provide information for evaluating alternatives.

A. False

B. True

Q.5 Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.

A. False

B. True

Q.6 The buying decision process and buying center are influenced by Interpersonal factors.

A. False

B. True

Q.7 In the business buying process, the buyer and seller are relatively less dependent on each other.

A. False

B. True

Q.8 The service-profit chain means the set of all product lines and items that a particular seller offers for sale.

A. True

B. False

Q.9 A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes—the place the product occupies in the retailers' minds relative to competing products.

A. True

B. False

Q.10 Gatekeepers have formal or informal power to select or approve the final suppliers.

A. False

B. True

Q.1 There are less participants involved in modified rebuy as compared to straight rebuy.

A. True

B. False

Q.2 The buying decision process and buying center are not influenced by Individual factors.

A. False

B. True

Q.3 The buying decision process and buying center are influenced by internal organizational factors.

A. False

B. True

Q.4 Research and planning for loyalty status as a segmentation approach is generally not useful or practical for most firms.

A. True

B. False

Q.5 Customer retention is perhaps the best measure of quality—a service firm's ability to hang on to its customers depends on how consistently it delivers value to them.

A. True

B. False

Q.6 The buying decision process and buying center are not influenced by external environmental factors.

A. True

B. False

Q.7 In the performance review stage, the seller or the buyer may modify, continue, or cancel the business arrangement.

A. False

B. True

Q.8 In evaluating different market segments, a firm must look at three factors: segment size and growth, segment structural attractiveness, and company objectives and resources.

A. False

B. True

Q.9 A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes—the place the product occupies in the retailers' minds relative to competing products.

A. True

B. False

Q.10 Co-branding is a form of product that consists of activities, benefits, or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything. Examples are banking, hotel, airline, retail, tax preparation, and home repair.

A. False

B. True

Q.1 In international product and service marketing, it is important to know what different colors mean to different countries.

A. True

B. False

Q.2 An example of service variability is that within a given Marriott hotel, one registration-desk employee may be cheerful and efficient, whereas another may be unpleasant and slow.

A. True

B. False

Q.3 The newer the buying task, and the more complex and costly the item, the lesser the amount of time the buyer will spend searching for suppliers.

A. False

B. True

Q.4 The service-profit chain means the set of all product lines and items that a particular seller offers for sale.

A. False

B. True

Q.5 Shopping products are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style.

A. False

B. True

Q.6 The order-routine specification includes the final order with the chosen supplier or suppliers and lists items such as technical specifications, quantity needed, expected delivery time, return policies, and warranties.

A. True

B. False

Q.7 Raheela works for the Aftab Beverage Company. She helps define product specifications and also provides information for evaluating alternatives. Raheela plays the role of gatekeeper.

A. True

B. False

Q.8 In evaluating different market segments, a firm must look at three factors: segment size and growth, segment structural attractiveness, and company objectives and resources.

A. False

B. True

Q.9 In the performance review stage, the seller or the buyer may modify, continue, or cancel the business arrangement.

A. False

B. True

Q.10 During proposal solicitation, the buying center often will draw up a list of desired supplier attributes and their relative importance.

A. False

B. True

Q.1 Consumers position products with or without the help of marketers.

A. True

B. False

Q.2 Co-branding is a form of product that consists of activities, benefits, or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything. Examples are banking, hotel, airline, retail, tax preparation, and home repair.

A. False

B. True

Q.3 We define a service as anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.

A. False

B. True

Q.4 Gatekeepers have formal or informal power to select or approve the final suppliers.

A. True

B. False

Q.5 Business buyers are subject primarily to economic influences when they make their buying decisions. Emotional or personal factors rarely are involved.

A. False

B. True

Q.6 The buying decision process and buying center are influenced by internal organizational factors.

A. True

B. False

Q.7 In evaluating different market segments, a firm must look at three factors: segment size and growth, segment structural attractiveness, and company objectives and resources.

A. False

B. True

Q.8 At this point, your company wants to move away from mass marketing and engage in target marketing. The three steps to take, in order, are market segmentation, marketing positioning, and target marketing.

A. False

B. True

Q.9 Derived demand means that the demand of an organization is dependent on consumer demand.

A. False

B. True

Q.10 Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.

A. True

B. False

Q.1 Many marketers believe that behavior variables are the best starting point for building market segments.

A. True

B. False

Q.2 Product support services identify the product or brand, describe several things about the product, and promote the product through attractive graphics.

A. True

B. False

Q.3 The buying decision process and buying center are not influenced by Individual factors.

A. True

B. False

Q.4 Derived demand refers to the business demand that ultimately comes from the demand for consumer goods.

A. False

B. True

Q.5 In the general needs description of the buying process, the buyer describes the characteristics and quantity of the needed item.

A. True

B. False

Q.6 Influencers often help define specifications and also provide information for evaluating alternatives.

A. False

B. True

Q.7 Programs that include public health campaigns to reduce smoking, alcoholism, drug abuse, and overeating are examples of the social idea known as social marketing.

A. False

B. True

Q.8 The business marketer normally deals with far fewer but far larger buyers than the consumer marketer does.

A. False

B. True

Q.9 Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.

A. False

B. True

Q.10 Unsought products are products and services that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort.

A. True

B. False

Q.1 Many marketers believe that behavior variables are the best starting point for building market segments.

A. False

B. True

Q.2 In the general needs description of the buying process, the buyer describes the characteristics and quantity of the needed item.

A. False

B. True

Q.3 The buying decision process and buying center are not influenced by Individual factors.

A. True

B. False

Q.4 In the proposal solicitation stage of the business buying process, the buyer invites qualified suppliers to submit proposals.

A. False

B. True

Q.5 Niche marketing offers smaller companies an opportunity to compete by focusing their limited resources on serving niches that may be unimportant to or overlooked by larger companies.

A. False

B. True

Q.6 When Kia offers a new model of car with the same features as a comparable Toyota or Ford and provides a longer warranty, it is following a more-for-less strategy.

A. True

B. False

Q.7 The widespread use of mass marketing has masked the fact that for centuries consumers were served as individuals where businesses practiced individual marketing.

A. False

B. True

Q.8 Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.

A. True

B. False

Q.9 In the business buying process, the buyer and seller are relatively less dependent on each other.

A. False

B. True

Q.10 At this point, your company wants to move away from mass marketing and engage in target marketing. The three steps to take, in order, are market segmentation, marketing positioning, and target marketing.

A. True

B. False

Q.1 Because there is such variation among the economies of countries around the world, it is not practical to segment international markets on the basis of economic factors.

A. False

B. True

Q.2 Service inseparability means that the quality of services depends on who provides them, as well as when, where, and how they are provided.

A. True

B. False

Q.3 A product's position is the way the product is defined by the retailers who sell it to target markets. It is how it is defined on important attributes—the place the product occupies in the retailers' minds relative to competing products.

A. True

B. False

Q.4 The widespread use of mass marketing has masked the fact that for centuries consumers were served as individuals where businesses practiced individual marketing.

A. False

B. True

Q.5 Influencers often help define specifications and also provide information for evaluating alternatives.

A. True

B. False

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A. True

B. False

Q.7 Business buyers are subject primarily to economic influences when they make their buying decisions. Emotional or personal factors rarely are involved.

A. False

B. True

Q.8 Ideally in the modified rebuy situation, the buyer does not think of changing the product specifications, price or a supplier.

A. False

B. True

Q.9 Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments.

A. False

B. True

Q.10 The buying decision process and buying center are not influenced by external environmental factors.

A. True

B. False

Q.1 Shopping For The Rich and Famous is a buying service that helps wealthy clients find the best buys in exclusive clothing, high-end cars, travel, and financial services. This firm would use income segmentation.

A. False

B. True

Q.2 At a recent marketing seminar, the featured speaker stated that a target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. You believe this is a correct definition.

A. False

B. True

Q.3 The order-routine specification includes the final order with the chosen supplier or suppliers and lists items such as technical specifications, quantity needed, expected delivery time, return policies, and warranties.

A. True

B. False

Q.4 Your assignment at work is to divide buyers into different groups based on social class, lifestyle, and personality characteristics. After a planning session with the marketing and sales staff, you issue a memo to upper management recommending psychographic segmentation. You are right on target.

A. False

B. True

Q.5 We define a service as anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.

A. True

B. False

Q.6 Unsought products are products and services that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort.

A. False

B. True

Q.7 Behavioral segmentation requires finding the major advantages or features people look for in the product class, the kinds of people who look for each advantage or feature, and the major brands that deliver each advantage or feature.

A. True

B. False

Q.8 The buying decision process and buying center are influenced by internal organizational factors.

A. True

B. False

Q.9 When a company introduces a new brand name in the same product category, it is called line extension.

A. True

B. False

Q.10 The demand for many business goods tends to change more slowly than the demand for consumer goods.

A. True

B. False

Q.1 The key to managing inventory is to balance the costs of carrying larger inventories against resulting sales and profits.

A. False

B. True

Q.2 Cost-based pricing relies on consumer perception of value to drive pricing.

A. True

B. False

Q.3 A major role played by intermediaries is to buy large quantities of products from many producers and break them down into the smaller quantities and broader assortments wanted by consumers.

A. True

B. False

Q.4 Sales promotion consists of short-term incentives to encourage purchases or sales of a product or service.

A. True

B. False

Q.5 The basis behind integrated logistics management is providing better customer service and trimming distribution costs. This requires teamwork, both inside the company and among all the marketing channel organizations.

A. False

B. True

Q.6 The media planner has to know the reach, frequency, and impact of each ad.

A. False

B. True

Q.7 In industrial markets, product managers have an influence on the company's price-setting decisions.

A. False

B. True

Q.8 The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.

A. False

B. True

Q.9 Value-based pricing is when costs vary directly with the level of product.

A. True

B. False

Q.10 It is safe to say that distribution channels are complex behavioral systems in which people and companies interact to accomplish individual company and channel goals.

A. True

B. False

Q.1 Overhead cost is another term for variable cost.

A. False

B. True

Q.2 Supply chain is a common term used for a channel of distribution.

A. False

B. True

Q.3 Value-based pricing is when costs vary directly with the level of product.

A. True

B. False

Q.4 The three characteristics for advertising appeals are: meaningful, believable, and distinctive.

A. False

B. True

Q.5 The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.

A. False

B. True

Q.6 Members of the marketing channel perform many key functions, such as helping to complete information, promotion, contact, matching, and negotiation transactions. They can also help to fulfill the completed transactions like e-procurement, financing, and risk-taking.

A. True

B. False

Q.7 In industrial markets, salespeople outrank top management in determining the sales price of products.

A. False

B. True

Q.8 The more elastic the demand, the more it pays for the seller to raise the price.

A. True

B. False

Q.9 A growing trend is to use a direct marketing channel, which has no intermediary levels, so the company sells directly to consumers.

A. False

B. True

Q.10 Competitors' prices and offers are external factors that companies have to deal with.

A. False

B. True

Q.1 The simplest pricing method is break-even pricing—adding a standard markup to the cost of the product.

A. True

B. False

Q.2 If demand changes greatly, we say the demand is inelastic.

A. False

B. True

Q.3 Producing a product or service and making it available to buyers requires building relationships not just with customers, but also with key suppliers and resellers in the company's supply chain.

A. False

B. True

Q.4 The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.

A. True

B. False

Q.5 Pricing often plays an important role in helping to accomplish a company's multi-level objectives.

A. True

B. False

Q.6 The franchise organization is the second most common type of contractual relationship wherein a channel member called a franchiser links several stages of the production-distribution process.

A. False

B. True

Q.7 A specific communication task to be accomplished with a specific target audience during a specific period of time is called an advertising objective.

A. True

B. False

Q.8 When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive.

A. True

B. False

Q.9 In industrial markets, salespeople outrank top management in determining the sales price of products.

A. True

B. False

Q.10 Advertisers look for media that showcase the product effectively. Fashions are best advertised on television, and automobile performance is best in color magazines.

A. False

B. True

Q.1 The simplest pricing method is break-even pricing—adding a standard markup to the cost of the product.

A. True

B. False

Q.2 Manufacturers may offer an allowance in return for the retailer's agreement to feature the manufacturer's products in some way.

A. True

B. False

Q.3 The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.

A. False

B. True

Q.4 If demand changes greatly, we say the demand is inelastic.

A. False

B. True

Q.5 An e-mail from a company that offers free shipping on your next purchase of more than Rs3000/= is an example of sales promotion.

A. False

B. True

Q.6 Cost-based pricing relies on consumer perception of value to drive pricing.

A. True

B. False

Q.7 The more elastic the demand, the more it pays for the seller to raise the price.

A. False

B. True

Q.8 When S&W Company integrates successive stages of production and distribution under a single ownership and attains coordination and conflict management through regular organizational channels, it is using a corporate VMS.

A. False

B. True

Q.9 If Canon Camera Company follows a high-price, high-margin strategy, it may attract competition from Nikon, Minolta, and Pentax.

A. False

B. True

Q.10 When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive.

A. False

B. True

Q.1 The basis behind integrated logistics management is providing better customer service and trimming distribution costs. This requires teamwork, both inside the company and among all the marketing channel organizations.

A. True

B. False

Q.2 In industrial markets, product managers have an influence on the company's price-setting decisions.

A. False

B. True

Q.3 When S&W Company integrates successive stages of production and distribution under a single ownership and attains coordination and conflict management through regular organizational channels, it is using a corporate VMS.

A. False

B. True

Q.4 Cost-based pricing relies on consumer perception of value to drive pricing.

A. False

B. True

Q.5 Value-based pricing is when costs vary directly with the level of product.

A. False

B. True

Q.6 If demand changes greatly, we say the demand is inelastic.

A. True

B. False

Q.7 The franchise organization is the second most common type of contractual relationship wherein a channel member called a franchiser links several stages of the production-distribution process.

A. False

B. True

Q.8 Supply chain is a common term used for a channel of distribution.

A. False

B. True

Q.9 Sales promotion consists of short-term incentives to encourage purchases or sales of a product or service.

A. False

B. True

Q.10 If the pull strategy is effective, consumers will then demand the product from channel members, who will in turn demand it from producers.

A. False

B. True

Q.1 The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.

A. True

B. False

Q.2 The most expensive consumer promotion tool is sampling.

A. False

B. True

Q.3 When S&W Company integrates successive stages of production and distribution under a single ownership and attains coordination and conflict management through regular organizational channels, it is using a corporate VMS.

A. False

B. True

Q.4 Manufacturers may offer an allowance in return for the retailer's agreement to feature the manufacturer's products in some way.

A. False

B. True

Q.5 A company's total marketing communications mix is also called its promotion mix.

A. True

B. False

Q.6 Competitors' prices and offers are external factors that companies have to deal with.

A. True

B. False

Q.7 A growing trend is to use a direct marketing channel, which has no intermediary levels, so the company sells directly to consumers.

A. True

B. False

Q.8 Pricing often plays an important role in helping to accomplish a company's multi-level objectives.

A. True

B. False

Q.9 In industrial markets, salespeople outrank top management in determining the sales price of products.

A. False

B. True

Q.10 Companies often forget to pay enough attention to their distribution channels, resulting in their failure to make long-term commitments to these firms.

A. True

B. False

Q.1 A major role played by intermediaries is to buy large quantities of products from many producers and break them down into the smaller quantities and broader assortments wanted by consumers.

A. False

B. True

Q.2 The basis behind integrated logistics management is providing better customer service and trimming distribution costs. This requires teamwork, both inside the company and among all the marketing channel organizations.

A. True

B. False

Q.3 Producing a product or service and making it available to buyers requires building relationships not just with customers, but also with key suppliers and resellers in the company's supply chain.

A. True

B. False

Q.4 The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.

A. True

B. False

Q.5 Manufacturers may offer an allowance in return for the retailer's agreement to feature the manufacturer's products in some way.

A. True

B. False

Q.6 A company's total marketing communications mix is also called its promotion mix.

A. False

B. True

Q.7 A producer must regularly check each channel member's performance against standards. These standards typically include sales quotas, average cash flow levels, customer delivery time, treatment of damaged and lost goods, and services to the customer.

A. False

B. True

Q.8 POP promotions include displays and demonstrations that take place at the point of purchase or sale.

A. False

B. True

Q.9 When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive.

A. False

B. True

Q.10 An e-mail from a company that offers free shipping on your next purchase of more than Rs3000/= is an example of sales promotion.

A. True

B. False

MGT301 - Quiz No.5

Date: 05 January 2026

Q.1 When S&W Company integrates successive stages of production and distribution under a single ownership and attains coordination and conflict management through regular organizational channels, it is using a corporate VMS.

A. False

B. True

Q.2 Value-based pricing is when costs vary directly with the level of product.

A. False

B. True

Q.3 Sales promotion consists of short-term incentives to encourage purchases or sales of a product or service.

A. True

B. False

Q.4 When a major moving van company sells accessory products that must be used in moving a household's furniture, it is practicing captive-product pricing.

A. False

B. True

Q.5 Generally speaking, a company's marketing channel objectives are influenced by the level of customer service sought, the nature of the company, its products, its marketing intermediaries, its competitors, and the environment.

A. True

B. False

Q.6 Percentage-of-sales method wrongly views sales as the cause of promotion rather than the result.

A. True

B. False

Q.7 An e-mail from a company that offers free shipping on your next purchase of more than Rs3000/= is an example of sales promotion.

A. False

B. True

Q.8 Overhead cost is another term for variable cost.

A. False

B. True

Q.9 A conventional distribution channel consists of one or more independent producers, wholesalers, and retailers. Each is a separate business seeking to maximize its own profits, even at the expense of the system as a whole. No channel member has much control over the other members, and no formal means exists for assigning roles and resolving channel conflict.

A. False

B. True

Q.10 If demand changes greatly, we say the demand is inelastic.

A. True

B. False

Q.1 When S&W Company integrates successive stages of production and distribution under a single ownership and attains coordination and conflict management through regular organizational channels, it is using a corporate VMS.

A. True

B. False

Q.2 If the pull strategy is effective, consumers will then demand the product from channel members, who will in turn demand it from producers.

A. False

B. True

Q.3 Manufacturers may offer an allowance in return for the retailer's agreement to feature the manufacturer's products in some way.

A. True

B. False

Q.4 A specific communication task to be accomplished with a specific target audience during a specific period of time is called an advertising objective.

A. True

B. False

Q.5 Producing a product or service and making it available to buyers requires building relationships not just with customers, but also with key suppliers and resellers in the company's supply chain.

A. True

B. False

Q.6 It is safe to say that distribution channels are complex behavioral systems in which people and companies interact to accomplish individual company and channel goals.

A. False

B. True

Q.7 With the success of the Internet, few producers sell through intermediaries today.

A. True

B. False

Q.8 If Canon Camera Company follows a high-price, high-margin strategy, it may attract competition from Nikon, Minolta, and Pentax.

A. False

B. True

Q.9 The more elastic the demand, the more it pays for the seller to raise the price.

A. False

B. True

Q.10 A producer must regularly check each channel member's performance against standards. These standards typically include sales quotas, average cash flow levels, customer delivery time, treatment of damaged and lost goods, and services to the customer.

A. True

B. False

Q.1 If demand changes greatly, we say the demand is inelastic.

A. False

B. True

Q.2 The demand curve shows the number of units the market will buy in a given time period at different prices that might be charged. In normal cases, the higher the price, the higher the demand.

A. False

B. True

Q.3 Members of the marketing channel perform many key functions, such as helping to complete information, promotion, contact, matching, and negotiation transactions. They can also help to fulfill the completed transactions like e-procurement, financing, and risk-taking.

A. False

B. True

Q.4 A conventional distribution channel consists of one or more independent producers, wholesalers, and retailers. Each is a separate business seeking to maximize its own profits, even at the expense of the system as a whole. No channel member has much control over the other members, and no formal means exists for assigning roles and resolving channel conflict.

A. True

B. False

Q.5 Major factors are changing the face of today's marketing communications. Mass markets have fragmented; thus, marketers are shifting away from mass marketing.

A. True

B. False

Q.6 The three characteristics for advertising appeals are: meaningful, believable, and distinctive.

A. False

B. True

Q.7 Companies that set a low initial price in order to get their "foot in the door" quickly and deeply, attract a large number of buyers quickly, and win a large market share practice market-skimming pricing.

A. False

B. True

Q.8 In industrial markets, salespeople outrank top management in determining the sales price of products.

A. False

B. True

Q.9 With the success of the Internet, few producers sell through intermediaries today.

A. False

B. True

Q.10 The key to managing inventory is to balance the costs of carrying larger inventories against resulting sales and profits.

A. False

B. True

Q.1 The media planner has to know the reach, frequency, and impact of each ad.

A. False

B. True

Q.2 Today, almost all companies, large and small, outsource most of their logistics to third-party logistics (3PL) providers.

A. True

B. False

Q.3 Value-based pricing is the reverse of cost-based pricing.

A. True

B. False

Q.4 The simplest pricing method is break-even pricing—adding a standard markup to the cost of the product.

A. True

B. False

Q.5 A producer must regularly check each channel member's performance against standards. These standards typically include sales quotas, average cash flow levels, customer delivery time, treatment of damaged and lost goods, and services to the customer.

A. True

B. False

Q.6 It is safe to say that distribution channels are complex behavioral systems in which people and companies interact to accomplish individual company and channel goals.

A. True

B. False

Q.7 Pricing often plays an important role in helping to accomplish a company's multi-level objectives.

A. True

B. False

Q.8 When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive.

A. False

B. True

Q.9 The key to managing inventory is to balance the costs of carrying larger inventories against resulting sales and profits.

A. False

B. True

Q.10 Generally speaking, a company's marketing channel objectives are influenced by the level of customer service sought, the nature of the company, its products, its marketing intermediaries, its competitors, and the environment.

A. False

B. True

Q.1 Members of the marketing channel perform many key functions, such as helping to complete information, promotion, contact, matching, and negotiation transactions. They can also help to fulfill the completed transactions like e-procurement, financing, and risk-taking.

A. True

B. False

Q.2 Intensive distribution seeks many outlets in a market, selective distribution seeks several outlets, and exclusive distribution seeks only one outlet in a given market area.

A. True

B. False

Q.3 Supply chain is a common term used for a channel of distribution.

A. False

B. True

Q.4 The basis behind integrated logistics management is providing better customer service and trimming distribution costs. This requires teamwork, both inside the company and among all the marketing channel organizations.

A. True

B. False

Q.5 A producer must regularly check each channel member's performance against standards. These standards typically include sales quotas, average cash flow levels, customer delivery time, treatment of damaged and lost goods, and services to the customer.

A. False

B. True

Q.6 Cost-based pricing relies on consumer perception of value to drive pricing.

A. False

B. True

Q.7 When a manufacturer seeks a market for by-products and accepts a price that covers more than the cost of storing and delivering them, it is able to reduce the main product's price to make it more competitive.

A. True

B. False

Q.8 Demand and consumer value perceptions set the floor for prices.

A. True

B. False

Q.9 Pricing often plays an important role in helping to accomplish a company's multi-level objectives.

A. True

B. False

Q.10 A company's total marketing communications mix is also called its promotion mix.

A. True

B. False